This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Corning Earnings Timeline



Woo Jin Ho
Team: Technology
BI Senior Industry Analyst

1. Corning's AI Demand Continues to Raise Optical Bar: 3Q Preview

Contributing Analysts Nelson Mendez (Technology)

(Bloomberg Intelligence) -- Corning is likely to show little moderation in AI optical demand, which could lift 3Q sales above its $4.9-$5 billion outlook and support mid-teens growth in 4Q. Optical strength should offset weakness in consumer-facing businesses. Yet much of the AI upside is already reflected in Corning's $40 billion annualized sales run-rate target by year-end 2030, and we don't expect another increase.

Focus has shifted to margin and profitability. Corning has delivered three straight quarters of 20%-plus operating margin and is on pace for 21.5% in 3Q, making its 20% margin target look outdated. An update may not come this quarter, but we already expect 25.5% operating margin in 2028 as higher-margin optical becomes a larger part of the mix. With consensus already in the mid-20s, a new long-term target around that level could underwhelm. (10/08/26)

Key Points:

- AI Optical Strength Could Push 3Q Sales Above $4.9-$5 Billion Outlook
- Enterprise, Carrier Optical Strength Should Offset Softer Consumer Demand
- Higher Optical Mix and Pricing Can Lift Operating Margin Toward 21.5%
- AI Fiber Demand Should Drive High-Teens 2027 Sales Growth as Cloud Capacity Expands

Additional Resources:

- Earnings Calendar | EVTS »
- Equity Outlook | BICO »
- Analyst Estimates and Models | MODL »

2. Corning's Clears AI Bar Amid DRAM Headwinds: Earnings Outlook

Contributing Analysts Nelson Mendez (Technology)

Post-2Q Earnings Outlook: Corning's robust 2Q enterprise optical results and 3Q outlook affirm the strength of its AI-infrastructure demand, though weaker smartphone glass sales may temper 2H Glass Innovations seasonality. Enterprise optical revenue climbed 65% in 2Q, driven by cloud demand for AI data-center build-outs, with generative AI sales nearly doubling. Given the magnitude of demand and accelerating orders, enterprise optical should sustain similar growth in 2H, putting segment sales on pace for $5 billion this year while buttressing margins.

The 3Q outlook suggests Corning can reach its $20 billion annualized sales run-rate target a quarter early. Emerging optical opportunities, including scale-up networks and co-packaged optics, remain ahead and should meaningfully contribute to its $40 billion long-term revenue goal. (07/28/26)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Enterprise Optical Strength Drives 2Q Sales Above Guidance
- Optical Communications Segment Outperforms, Enterprise Up 65%; Carrier Posts Modest Gain
- Record Optical Profitability Lifts Operating Margin to 20.9% Despite Solar Costs
- AI Momentum Could Lead to $20 Billion Sales Run Rate by 3Q, Fuels 2026 Sales Growth

Additional Resources:
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »
- Analyst Estimates and Models | MODL »

3. Corning’s AI Optical Sales Bar Is High, Achievable: 2Q Preview

Contributing Analysts Nelson Mendez (Technology)

Corning's AI-driven optical momentum should continue to clear a high investor bar, supporting 2Q sales above its $4.6 billion guidance. We see little evidence of a slowdown in hyperscale-infrastructure demand and expect enterprise optical sales growth to accelerate in 2Q and into 2H, reaching 40%-plus as cloud providers ramp up AI data-center deployments. Modest price increases should provide an added lift. The fundamentals for enterprise optical will strengthen further in 2027 on content gains as cloud providers densify fiber networks to train larger AI models. Corning's Glass Innovations business should remain stable, supported by premium-device exposure and cushioning expectations for weaker broader device volume.

We expect operating margin to hold near 20%, aided by a better Optical and Glass mix. While deeper enterprise optical penetration creates room for margin expansion, it may take another quarter or two before Corning provides a more explicit update. (07/17/26)

Key Points:
- AI Optical Demand Could Lift 2Q Sales Above Guidance
- Optical Segment Could Expand 28% as AI Demand Grows; Consumer Segments Stable
- Enterprise Optical Mix, Pricing Support 20%-Plus Operating Margin
- 2026 Sales Outlook Hinges on AI Order Visibility, Ramp-Up Timing

Additional Resources:
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »
- Analyst Estimates and Models | MODL »
- Bloomberg Interactive Model | MODL »

4. Corning’s 2Q View Downplays Optical Momentum: Earnings Outlook

Corning's in-line 2Q sales outlook shouldn't overshadow the strong optical momentum reflected in its results and the expanding long-term opportunity. Optical sales beat consensus by 6%, yet expectations were elevated following nearly 90% year-to-date share gains and a 51x forward P/E. Optical sales grew 36% to $1.85 billion, with carrier contributing meaningfully to outperformance and AI-driven enterprise modestly exceeding consensus.

AI-driven tailwinds are poised to strengthen, supported by long-term agreements with two additional hyperscale customers alongside Meta, as well as emerging scale-up and scale-out opportunities. Together, these drivers could sustain 20%-plus optical growth through 2030 while supporting continued margin expansion. (04/28/26)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:

- AI-Driven Optical Strength Drives 1Q Sales Above High End of Guidance
- Enterprise and Carrier Optical Segment Strength Drive Growth; Solar Ramp-Up Adds Incremental Lift
- AI-Driven Optical Mix Sustains 20%-Plus Operating Margin and Profit Expansion
- AI Momentum Continues, Supporting 2026 Sales and Project Springboard Upgrade

Additional Resources:

- Earnings Release | DOCV »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »
- Analyst Estimates and Models | MODL »

5. Corning’s Fiber Catalysts Offset Consumer Weakness: 1Q Preview

Corning's optical momentum should drive 1Q sales toward the upper end of guidance, supported by sustained hyperscale AI-infrastructure demand. We expect enterprise optical to rise 30-35%, with telecom optical improving to around 20%, reducing the drag on segment expansion. Continued build-out of scale across networks should further densify fiber deployment and fuel content gains, supporting elevated growth through 2027-28.

Still, consumer-facing segments are a headwind. Memory price inflation is likely to pressure TV, PC and smartphone shipments, weighing on Displays, Automotive and Specialty Materials volume and sales. Given ongoing demand uncertainty outside of Optical, the company’s ability to raise its full-year outlook appears limited. (04/09/26)

Key Points:

- Cloud's AI Build-Out Drives Optical Lift, 1Q Sales Toward High End of Guidance
- Enterprise Optical Segment on Pace for 30-35% Growth, Telecom Up 20%-Plus; Consumer Areas Could Drag
- Growing Optical Mix, Cloud Exposure May Sustain 20% Operating Margin
- Consumer Segment Weakness Might Temper 2026 Sales-Guidance Lift

Additional Resources:

- Earnings Calendar | EVTS »
- Equity Outlook | BICO »
- Bloomberg Interactive Model | MODL »

6. AI Optical Ups Corning's Near-, Long-Term View: Earnings Outlook

Post-4Q Earnings Outlook: Corning's AI optical sales momentum continues to lift the near- and long-term sales trajectory of its Project Springboard plan. The company boosted its target for 4Q26 Springboard quarterly sales run-rate expansion by $500 million to $6.5 billion. Though 4Q optical sales fell short of consensus, enterprise optical grew 30%, which was consistent with consensus. Given the AI infrastructure ramp up, we believe 30% enterprise optical growth is sustainable. Paired with expanding solar and silicon wafer manufacturing contributions, Corning could at least achieve midteens sales growth, despite unchanged flat displays sales in 2026.

With Corning achieving 20% operating margins in 4Q, improving optical margins should drive profit higher, allowing buybacks, which would aid EPS growth. (01/29/26)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Broad Execution, Solar Strength Lift 4Q Sales Above High End of Guidance
- Enterprise Optical Segment Growth on Track, Up 30%, Automotive Outperforms
- Optical and Display Mix Delivers Over 20% Operating Margin Ahead of Plan
- AI Demand Poised to Support Midteens 2026 Sales Expansion

Additional Resources:
- Earnings Release | DOCV »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »
- Analyst Estimates and Models | MODL »

7. Corning Sustains AI Lift, Consumer Gains Challenged: 4Q Preview

AI-driven fiber demand remains robust for Corning and underpins roughly 30% optical sales growth, supporting modest additional gains in 4Q. The accelerating AI data-center build-out should sustain double-digit optical growth into 2026, positioning Optical as Corning's primary growth engine. Corning is indirectly exposed to the tightening memory supply environment, which could pressure consumer-facing segments, particularly Displays (TVs) and Specialty Materials (smartphones). Tighter memory supply is likely to weigh on smartphone unit volume, offsetting content gains.

In Displays, we expect TV original equipment manufacturers to seek pricing concessions elsewhere to offset memory-cost inflation -- an outcome not reflected in consensus assumptions of 2% Displays sales growth and about 25% net margin in 2026. (01/14/26)

Key Points:
- AI Momentum Lifts Optical Sales, Could Lead to 4Q Sales Upside vs. Guidance
- Optical Segment Could Expand 30% as AI Demand Grows; Risk in Displays, Specialty Material
- Improving Optical Margin Drives Up Consolidated Operating Margin, Profits
- AI Optical Growth Will Propel 2026 Sales, But DRAM Crunch Could Temper Strength

Additional Resources:
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »
- Analyst Estimates and Models | MODL »
- Bloomberg Interactive Model | MODL »

8. Corning’s AI Opportunities Continue to Expand: Earnings Outlook

Post-3Q Earnings Outlook: Corning's 3Q results and 4Q outlook reflect sustained AI-sales momentum and stability of its consumer-focused end markets. Though optical sales fell short of consensus, the AI-centric enterprise optical business was better than expected, suggesting that AI demand remains intact. AI trends remain favorable for Corning in the long term, as it gains from the cloud and neo-cloud ramp-up, while newer products position the company for growth as optics go deeper inside the data center.

Displays stability is a contributing factor in reaching 20% operating margin in 4Q, a year ahead of target. Corning may need to revisit its profit goals sooner than anticipated due to strong long-term demand trends and sustained capacity bottlenecks, which could lift margins further. (10/28/25)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Business Breadth Fuels 3Q Sales Above the High End of Guidance
- Displays, Specialty Material Segment Drives Lift; AI Momentum Intact on Enterprise Optics Ramp
- Optical, Displays Profit Spurs Higher Profitability, Poised to Deliver 20% Operating Margin Sooner Than Expected
- AI Sales Momentum Continues, Aids Boost to 2025-26 Sales

Additional Resources:
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Analyst Estimates and Models | MODL »
- Bloomberg Interactive Model | MODL »

9. Corning's Optical Momentum Sustained on Fiber Frenzy: 3Q Preview

Heightened optical-fiber demand from a strengthening AI-infrastructure build-out remains Corning's foundation for strong revenue and earnings momentum, which should help it deliver 3Q sales that surpass its $4.2 billion outlook. The strengthening cloud demand could drive modest upside to the mid-upper 30% optical consensus target for the quarter and the year, which may lead to upward revisions to 2025-26 expectations. The strength in optical should help mitigate muted displays and automotive sales.

Specialty Material and Hemlock could be a source of sales upside in the quarter, helped by better iPhone content gains and volume, with Hemlock lifted by solar demand. Catalysts, such as an all-glass iPhone and foldables, could fuel 2026 segment sales-growth outperformance. (10/10/25)

Key Points:
- Optical-Demand Strength Shines, Drives Above-Guidance 3Q Sales
- Enterprise Optical Segment Poised to Expand Over 50%; Displays Could Shrink
- Displays Margin May Be Below 25%, But Better Profiles in Other Areas
- 2025 Sales Outlook Might Increase on Favorable Fundamentals, Sustained Into 2026

Additional Resources:
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »
- Bloomberg Interactive Calculator | MODL »

10. Corning’s Results Breadth Joins Optical Lift: Earnings Outlook

Post-2Q Earnings Outlook: Corning continues to ride strong cloud AI and telecom spending demand, which is leading to sustained outperformance in its optical business. In addition to that, 2Q results reflected breadth, as specialty display, automotive and Hemlock contributed to better sales. There was some pull-forward in demand contributing to the improved 2Q, but 41% optical sales growth in the quarter could be followed by 30%-plus in 3Q, which is the foundation for Corning's stout outlook.

Optical sales catalysts are strong, as Corning should further benefit from the AI infrastructure buildout, which is complemented by healthy telecom sales as fiber spending plans normalize. (07/29/25)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:

- 2Q Sales Outperformance Driven by Breadth to Complement Optical Strength
- Enterprise Optical Segment Up 81%, Carrier up 11%; But Specialty, Auto Deliver Better Results
- Margins Resilient Despite Tariffs, But Focus Remains on Expense Discipline in 2H
- Could Be On Track for 10%-Plus 2025 Sales Growth on AI Momentum

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »

11. Corning Should Continue to See Fiber Frenzy Gains: 2Q Preview

Corning should continue to reflect robust AI demand momentum, driving 2Q results at least in line with its $3.85 billion sales guidance. The AI infrastructure build out, led by Nvidia'a Blackwell GPU and NVL72 deployments, can likely sustain the significant content gains inside and across data centers. This should sustain 50%-plus enterprise optical growth and roughly 30% total optical segment sales growth for the year. We expect carrier optical sales to expand 9% as telecom fiber investments recover, while the Trump administration's 50% tariff on copper could catalyze telecom fiber sales.

Corning's direct tariff exposure is limited. However, we are cautious about the tariff impacts on smartphone, TV and auto demand, which could weigh on Corning's sales volume. (07/17/25)

Key Points:

- Sustained AI Fiber Momentum Could Lead to 2Q Sales Above $3.85 Billion Guidance
- Blackwell Rise Could Fuel 30% Total Optical Segment, 50% Enterprise Optical Expansion
- Gross Margin May Remain Stable Despite Tariff Overhang, Awaiting 2H Impact
- Tariff Overhang Still Clouds 2H View on Key Businesses, 2025 Sales Momentum Could Cool

Additional Resources:

- Bloomberg Interactive Calculator | MODL »
- Analyzer | BI »
- Earnings Calendar | EVTS »

12. Corning’s Optical Boost Cushions Tariff Blow: Earnings Outlook

Post-1Q Earnings Outlook: The strength in Corning's optical business is proving to be a strong sales foundation amid the uncertain impact from tariffs on its displays, automotive and specialty materials businesses. AI demand fundamentals continue to strengthen, as evidenced by accelerating enterprise optical sales, up 106% year over year in 1Q, and the affirmation of its 30% 2025 segment growth target should help to cool cloud AI spending concerns.

Its direct tariff impact is limited but will cost Corning 1-2 cents in quarterly EPS, which it plans to mitigate by optimizing the supply chain and price actions. However, indirect impacts to its automotive, smartphone and displays businesses could weigh on 2H and could keep sales toward the lower end of the 2026 Project Springboard Plan. (04/29/25)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- AI Demand Outperformance Drives Modest 1Q Sales Upside vs. Elevated Guidance
- Enterprise Sales Momentum Strengthens on AI Boost, Displays Segment Stable Amid Tariff Uncertainty
- Margins Remain Resilient, Targets Price, Cost Chain Actions to Stay on Track
- On Track for Midteens 2025 Sales Growth for Now, Indirect Tariff Impact a Wild Card

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

13. Corning Springboard on Track, But Tariff Risks Exist: 1Q Preview

Corning may stay the course with its Project Springboard plans, despite heightened trade and tariff uncertainty. Given the trade turbulence, the near- and medium-term outlook will take more weight than results, since the company already said on its analysts day that 1Q sales will exceed $3.6 billion. We believe the cloud's AI rollout and telecom-fiber investments remain intact, which should help keep its optical business on track for 22-26% sales growth.

Our concern is on the indirect impact of tariffs and recession risk on its Displays, Environmental Technologies and Specialty Materials business, since the levies could weigh on TV, auto and smartphone demand. That could weigh on Corning’s input volume in 2H. However, we expect the company to reinforce its Project Springboard target. (04/15/25)

Key Points:
- Analyst Day Guidance for 1Q Sales to Exceed $3.6 Billion on Strong Fiber-Optics Demand
- Cloud Demand, AI Content Gains Fuel 30% Enterprise-Optics Segment Growth; US Manufacturing Avoids Tariffs
- Gross Margin in Focus Due to Potential Tariff Impact on Display, Smartphone, Auto Segments
- Tariff Overhang May Cloud 2H Demand on Key Businesses, Could Cool 2025 Sales Momentum

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Bloomberg Interactive Calculator | MODL »

14. Corning’s Optical Boost Firms Springboard View: Earnings Outlook

Post-4Q Earnings Outlook: Corning's robust optical momentum strengthens the company's outlook for $3 billion in incremental sales by 4Q26 for its Project Springboard, while adding scope for $5 billion in non-risk-adjusted outlays. A gain of 51% in the optical segment helped propel 3% total sales upside vs. guidance in 4Q, as cloud demand grows, while the recovery in telecom spending is aiding results. We believe this will be sustained through 2025, given AI tailwinds and telecoms investing in fiber build-outs.

Corning’s currency-adjusted price hikes are spurring stability in Displays sales. Though display volume might decline, pricing adjustments can keep segment net income and net income margin stable, a foundation for overall profitability. (01/30/25)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Optical Outperformance Leads 3% 4Q Sales Upside vs. Guidance
- Enterprise Optical Segment Up 93%, Telecom Sales 24% Higher; Price Hikes, Volume Aid Displays
- Pricing, Better Utilization Lifts Margin; Greater Operating Expenses Temper Operating Margin
- Sustained Optical Tailwinds, Stable End Markets Could Fuel Low-to-Midteens 2025 Revenue Gain

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

15. Corning Bright Optical Sales Dimmed by Weak Consumer: 4Q Preview

Strong optical demand momentum should continue to buttress Corning's results and growth, while helping to cushion softness in segments focused on consumer end markets, such as smartphone and autos. Hyperscale cloud's AI buildout is a multiyear growth tailwind for its optical business and is the foundation for 22-23% optical segment sales expansion in 2025. The results and outlook should illustrate sustained strength in enterprise optics sales strength, which consensus expects to grow 32%. But the rebound in carrier optics shouldn't be dismissed; sales are expected to climb 12-13%.

Volume and pricing in the displays business has been stable and may help mitigate potential weakness in smartphone glass and environmental technology for cars from consumer weakness. (01/15/25)

Key Points:
- Cloud AI Rollout Drives Optical Sales, But China Weakness Could Limit 4Q Sales Upside
- Enterprise Optical Poised for 70%-Plus Growth on AI, Lifts Total Optical Segment, Displays Stable
- Price Hikes, Better Volumes Could Help Sustain 39% Gross Margin
- Improving Markets, Favorable Secular Trends Drive 5-8% 2025 Sales Growth, Tariffs a Risk

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Bloomberg Interactive Calculator | MODL »

16. Corning's Results May See Steady Optical Boost: Earnings Outlook

Post 3Q: Corning's better-than-forecast 3Q results and stronger 4Q outlook may offer a taste of what to expect in 2025 and for long-term growth, as the lift in optical should have multiple tailwinds. AI-related optical demand drove 55% growth in enterprise optical sales in 3Q. The enterprise results help reinforce the company's ability to stay on track with its 25% compounded sales growth target through 2027, while we view Nvidia's Blackwell GPU launch as a secular tailwind in 2025, with future GPU models offering a boost. The 25% improvement in 3Q carrier sales shouldn't be overlooked, and improving telecom spending plans provide scope for carrier sales to yield low-teens growth next year.

Previously announced price hikes are providing sales and profit stability in displays, helping to offset softer 2H volume. (10/29/24)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Optical Outperformance Fuels 3Q Sales Upside to Guidance
- Enterprise Optical Segment Sales Up 55%, Carrier Returns to Growth; Display Stability Mitigates Softer Areas
- Better Mix Aids Margin, But Operating Spending Poised to Rise on Higher Variable Compensation
- Optical Sales Momentum, Displays Stabilty Foundation for Project Springboard, Accelerated 2025 Sales Growth

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »

17. Corning’s Optical Tailwinds Reflected in Consensus: 3Q Preview

Corning entered 2H with strong optical-demand tailwinds led by the cloud's AI build-out, supplemented by stabilizing telecom optical purchases. AI's back-end infrastructure has set up a new content opportunity for the company's enterprise optical business, where sales could be on pace to grow more than 50% in 3Q, the key driver to total optical sales gains of 25% for the quarter. Price hikes should keep Display segment revenue stable, despite tempered volumes, which should help sustain margin expansion and healthy cash generation.

Consensus already reflects much of the favorable demand sentiment, which may limit an upside surprise to results and management's outlook. (10/09/24)

Key Points:
- Optical Sales Lift, Stable Displays Could Buttress $3.7 Billion-Plus in 3Q Sales
- AI Demand Fuels 25% Optical Segment Sales Growth, Price Hikes Could Aid Displays
- Operational Streamlining Aids High-30s Gross Margin
- On Pace for $14Bn-Plus in 2024 Sales, Reflected in Consensus; Too Soon for 2025 View

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Bloomberg Interactive Calculator | MODL »

18. Corning Mixed Recovery Offers a Reality Check: Earnings Outlook

Contributing Analysts Kiran Jagtiani

Post-2Q Earnings Outlook: Corning's softer 3Q outlook against heightened consensus is a reminder of the diverse nature of the business, with sales expanding at different trajectories riding on both cyclical and secular trends. The impact from AI played a prominent role in 2Q results, as optical sales grew 4% year over year, led by record enterprise optical sales of $426 million. Though we view the enterprise AI lift as sustainable, Lumen's commitment to 10% of Corning's fiber capacity is a reminder that AI is favorable to the carrier business as well.

Corning flags weaker commercial truck environmental sales as a modest headwind to growth. But display sales may have peaked in 2Q, potentially dropping on lower panel volume and impacts from a strong dollar and pricing adjustments. (07/30/24)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:

- AI, Displays Strength Deliver 2Q Sales Outperformance vs. Positive Pre-Announcement
- Enterprise Segment Drives Optical Lift, Display Volume, Pricing Yield Better Results
- Gross Margin Nears 38% on Stronger Volume, Operational Streamlining
- AI Theme Remains Intact in 2024; Displays, Environmental Cyclicality Limit 2024 Upside

Additional Resources:

- Analyzer | BI »
- Earnings Release | DOCC »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

19. Corning’s Optical Sales Recovery Shining Brighter: 2Q Preview

Contributing Analysts Kiran Jagtiani

Corning's 2Q positive pre-announcement is an encouraging sign on the improving optical-demand dynamics that could lift 2024 results. The company targets $3.6 billion in sales, which is 4% ahead of our scenario and consensus. Though management credits AI demand for the stronger results, we think this is partially the case, as better telecom optical and stronger display revenue may play a meaningful role. The improved 2Q optical results give us confidence for a sharp 2H sales rebound, as well Corning's ability to close its $1.5 billion sales gap over the next few years.

The pre-announcement also suggests healthy display volume, which could deliver upside to our $940 million segment sales scenario. However, a higher optical mix may have slightly dragged margin and limited EPS upside. (07/09/24)

Key Points:

- Pre-Announced 2Q Sales to $3.6 Billion, 5% Over Guidance
- Optical Segment Beat More Than AI, Displays Remain Strong
- Operational Streamlining to Maintain High-30s Gross Margin
- Optical Sales Momentum Could Drive Stronger 2024 Outlook

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Bloomberg Interactive Calculator | MODL »

20. Corning’s Optical Strength Leads Recovery Path: Earnings Outlook

Contributing Analysts Kiran Jagtiani

Post-1Q Earnings Outlook: Corning's better-than-seasonal optical results and display's outperformance help reinforce our favorable view of a strengthening recovery. The two segments drove the 5% 1Q sales outperformance vs. our scenario and consensus, as price increases are taking hold on stable volumes. Improving telecom order activity implies the inventory glut is largely behind Corning, which could translate to a return to growth in 2H and lead to double-digit gains in 2025 as catalysts such as the Broadband Equity Access Deployment program and AI start to play a growing role in sales.

Displays segment sales could be on a mid-single-digit growth path in 2024, helped by stable pricing and moderately better glass volumes. The better pricing dynamics may aid profitability and cash generation. (04/30/24)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:

- Broad-Based Recovery, Pricing Leads to 5% 1Q Sales Beat vs. Guidance
- Optical Segment Headwinds Diminish, Pricing, Volumes Aid Displays
- Improved Displays Mix, Sales Dynamics Buttress Corning Margins
- Foundation for 2024 Sales Recovery Firms Up, Poised for 2H Growth

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

21. Awaiting Corning Signs of Optical, Displays Rebound: 1Q Preview

Corning should start 2024 facing firmer demand and making progress toward a recovery in its display and optical segments. Results for 1Q will likely reflect seasonal weakness and may represent the trough for the year. Green shoots in the displays segment started to emerge late in 1Q, with TV OEMs potentially ramping up demand ahead of TV-panel price hikes. This could position Corning well for stronger-than-consensus 2Q displays revenue and healthier year-over-year volume.

Demand is slowly recovering in Corning's optical segment as telecom customers work through a supply glut. We expect optical sales to rise sequentially following 1Q as telecom demand improves and Corning gains from growing enterprise momentum, fueled by cloud customers building out their AI network infrastructure. (04/10/24)

Key Points:

- Recovery Signals Could Emerge, Yielding 1Q Sales In Line With Guidance
- Still Benefiting From Glass Price Hikes, Aids Display Segment; Customers Work Through Optical Glut
- Price Hikes Could Widen Margin; Better Volume May Follow
- Still a Recovery Year and 2H-Loaded, Staying On Track for Minus 2% to Unchanged 2024 Sales Growth

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

22. Corning’s Firming Demand Backs 2024 Stability: Earnings Outlook

Post-4Q Earnings Outlook: Corning is poised to enter a period of stability as volumes in the displays and optical businesses start to recover from trough levels. Though the 1Q sales outlook of $3.1 billion is 3% below consensus, it could be the quarterly low that Corning builds on, leading to flattish 2024 sales. Display-glass volume should start to improve in 2Q as TV and monitor panel makers ramp up production to meet revived consumer demand.

What’s more encouraging, the optical demand headwinds that dragged 2023 sales have started to diminish, as telecom customers appear to have worked through excess capacity, which may be leading to cautious order activity. We expect optical sales to be down about 2% for the year, followed by midteens growth in 2H and into 2025. (01/30/24)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Optical Sales Slightly Better Than Expected, Lift 4Q Sales Above Guidance
- Optical Segment Sales Down 24%, But Headwinds Diminish, Pricing Aids Displays
- Gross Margin Stabilzed at 37%, Though Expenses a Bit Higher Than Expected
- Stabilizing Displays, Optical Demand Support Flattish 2024 Sales

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

23. Corning Faces a Tough Winter Before Spending Thaw: 4Q Preview

Corning's 4Q results and 1Q outlook reflect a sluggish demand environment across its end markets -- displays, optics, automotive and smartphones -- which could make it tough for the company to be more positive for the year. Though we don't rule out the risk of a modest cut to consensus, earnings may have troughed with 2024 EPS cut by 14% since 3Q results. The sales weakness remains most pronounced in the optical segment, which could fall 29%, based on our scenario, due to weak telecom spending. Stimulus funding remains a sales catalyst but may not emerge until 4Q or early 2025.

The displays segment faced a 4Q rough patch as panel makers scaled back production on overcapacity and weak consumer demand. Its 30% price hike should serve as a cushion to limit the sales declines, with the demand weakness short-lived. (01/19/24)

Key Points:
- 4Q Sales, EPS Results May Reflect Trough Sales as Demand Softens
- Price Hikes Cushion Displays Downside, Optical Segment in Telecom Doldrums
- Expense Controls Could Limit Margin Pressure, Scope to Improve Modestly
- Demand Remains Weak, Risk for Modest 2024 Sales Cuts Exist, Catalysts Emerge in 4Q

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »
- Analyst Estimates and Models | MODL »

24. Corning’s Optical Weakness Dims Near-Term View: Earnings Outlook

Post-3Q Results: The weak telecom-spending environment is a bigger drag on Corning's optical sales than anticipated and the source of the 3Q sales miss vs. guidance and its tepid 4Q outlook. However, growth in the optical segment may remain elusive through 1H, followed by a shallow 2H24 recovery due to uncertain telecom spending and limited spending catalysts, such as stimulus funding. Displays results were mixed. Though price hikes buttressed results, glass volumes disappointed. Lower panel-production utilization rates will further drag glass volumes in 4Q. Easy comparisons should sustain 1H Displays growth, but momentum will be tempered.

Corning has managed cost structure well to improve margins, but it has pulled many of its cost levers, and better profit growth may need deeper cuts. (10/24/23)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Weak Telco Demand Leads 3Q Sales Miss vs. Guidance
- Optical Sales May Remain Tempered Into 1H, Displays Volumes
- Price Hikes Aid Gross, Operating Margin; Limited Scope for Expansion
- Weak Demand Fundamentals Lead to Disappointing 4Q, May Remain Soft in 1H

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

25. Corning’s Optical Drags, Recovery Still Not in Sight: 3Q Preview

Corning's optical business may remain a drag on growth over the next few quarters, mitigating the recovery in the displays business. We don't rule out moderate downside to consensus' optical expectations, as telecom and cloud customers curtail spending to conserve capital, leading to a 20% drop in 2H optical sales. Though US stimulus funding is a potential optical sales catalyst for the company, the impact on 2024 sales may be more modest than hoped, with scope for stronger sales in 2025.

Improved TV production and Corning’s glass price hikes should sustain the positive display segment sales and profit momentum, which account for 40% of its net income. However, much of the improvement is already reflected in the consensus and in our scenario analysis, which could limit upside to expectations. (10/03/23)

Key Points:
- Optical Demand Weakness Still Poses Risk to 3Q Sales vs. $3.5 Billion Guidance
- Optical Segment Poised for 20% 2H Drop, Displays Rebound on Better Volume, Smartphones Stabilize
- Improving Displays Business Could Stabilize Profit, Operating Margin
- Optical Demand Weakness May Limit Upside to $14 Billion 2023 Sales Expectations

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Equity Outlook | BICO »

26. Corning’s Display Sales Rebound, Optical Dims: Earnings Outlook

Post-2Q Earnings Outlook: The magnitude of weakness in Corning's optical business was deeper than feared in 2Q and could remain a drag on 2023 sales. With telecoms paring back capital expense, optical sales are expected to be less than seasonal. Still, we believe the long-term fiber rollout trends remain intact, but may not materialize until mid-2024. In contrast, the displays segment recovery came sooner than we expected. The 22% sequential improvement in 2Q displays sales was driven by stronger volumes, implying the TV panel inventory glut may finally be behind Corning. Recent price hikes in display glass could provide an incremental boost.

Corning’s price and cost actions are the right course amid the weak demand and inflationary pressures. These efforts could lead to strong operating leverage when demand improves. (07/25/23)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:

- Optical Sales Drop Leads to Slight 2Q Sales Disappointment vs. Guidance
- Weaker Telecom Capex Drives QoQ Optical Decline, Display Segment Volumes Drives Outperformance
- Price Actions, Expense Streamlining Drives QoQ Gross, Operating Margin Improvement
- Optical Weakness May Persist, Displays Offers Some Cushion for 2023 Sales

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »

27. Corning Display Price Hikes Could Prop Up 2H Sales: 2Q Preview

Corning's 20% year-over-year price increase in display glass could lift 2H sales and help it achieve $15 billion in total sales in 2023. Though the price hikes aim to mitigate the inflationary impact on glass raw materials, they could also provide a modest sales and margin boost in 2H as TV-panel makers ramp up production ahead of seasonal demand. The improved sales and profitability for its displays business could help cushion the decline in the optical business, which has underwhelmed due to curtailed telecom and cloud-spending plans. The optical business is poised to fall in 2023, but US and European stimulus funding is a favorable driver to put the business back on track in 2024. (07/07/23)

Key Points:

- Improving Display Dynamics Could Yield In Line or Better 2Q Sales Results vs. Outlook
- Display Segment Sales Could Illustrate Sustained Recovery; Optical Continues Slide
- Margin Could Continue to Improve on Price Hikes, Operational Streamlining
- Display Price Hikes Could Modestly Aid 2023 Sales Toward $15 Billion

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

28. Corning’s Rebound in Display Is a 2023 Cushion: Earnings Outlook

1Q Earnings Outlook: Signs of a TV panel recovery late in 1Q and actions to tighten cost structures should help Corning navigate challenging demand and stabilize 2023 sales and profits vs. 2022 levels. While Corning's 2Q sales outlook was modestly below our scenario analysis, the 1Q sales results and outlook are playing out as anticipated with the Displays business bottoming in 1Q with scope to improve as TV panel makers ramp up production due to panel supply being in balance. Strengthening display sales should help cushion lackluster optical growth for the year, which may not improve as telecom and cloud customers are cautious are on deploying cash.

Corning’s cost and pricing actions are taking hold better than we anticipated, which should lead to better profitability late in 2023 and into 2024 when demand improves. (04/25/23)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Stable Displays, Auto Strength Slight 1Q Sales Boost Closer to Top End of Guidance
- Stronger Display Utilization Favorable Sign of Rebound, But Optical Segment Lackluster
- Expense Streamlining Drives QoQ Gross, Operating Margin Improvement
- 2Q Outlook Softer vs. Scenario, But 2023 Sales May Remain Flattish vs. 2022

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »

29. Corning Sales Might Bottom Amid Signs of Improvement: 1Q Preview

Corning's 1Q results could mark a bottom, with scope for improvement in its key segments -- Displays, Optical and Specialty Materials -- as the year progresses. However, limited demand visibility may make it tough for Corning to be more optimistic about the strength of the 2H rebound. LCD panel pricing started to improve in 1Q, a sign that the TV inventory correction may have bottomed. Though we expect panel production to improve in 2Q, panel makers will likely be cautious, leaving some uncertainty about the strength of the 2H ramp-up.

The optical market may remain in a lull and on a sub-10% growth track for the year as telecom and cloud vendors pare back spending. We expect a return to 10%-plus growth in 2024 as spending catalysts re-emerge. (04/04/23)

Key Points:
- 1Q Sales, EPS Could Mark Bottom for Year
- Display Shipments Show Signs of Recovery, Month-Over-Month Improvement
- Sequential Margin Improvement Targeted on Displays, Operating Efficiencies
- Too Early to Be Positive on 2023 Outlook But Remains on $15 Billion Path

Additional Resources:
- Earnings Deep Dive | NSN »
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

30. Corning’s Price Hikes Preserve Slow 2023 Start: Earnings Outlook

Post-4Q Earnings Outlook: Corning's display glass price stability and price hikes could help a gross margin rebound and preserve profits tempered by top-line growth as consumer electronics demand is likely to remain stubbornly weak over the next several quarters. Its 4Q sales outperformance driven by better display volume appears to be temporary, as TV production cuts could lead to 1Q display glass sales on par with the segment's 3Q trough, with segment growth not returning until 2H. While the optical segment remains Corning's key growth engine, its 1Q outlook suggests to us that its double-digit growth target may be elusive in 2023.

Price increases should take hold quickly, as its 1Q guidance implies 35-36% gross margin vs. 33.6% in 4Q, which could lead to progressive quarterly improvement in EPS. (01/31/23)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Better Display Volumes Lead High End of 4Q Sales Guidance, Tax Benefits Drive EPS Beat
- Weak Consumer Demand Will Delay TV Production, Optical Demand Remains Pinched
- Weak Capacity Utilization Lead to Disappointing Gross Margin, Price Hikes Drive Quick Rebound
- 2023 Sales Outlook

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

31. Corning's Optical View Could Shape 2023 Sales Growth: 4Q Preview

Corning may continue to face a choppy optical market, which could modestly cool near-term growth momentum below the company's low-teens target. Its optical sales are expected to drop sequentially in 4Q due to purchasing delays. However, we don't anticipate a quick rebound amid overarching economic concerns that could compound a seasonally weaker 1H. Though delivering 10%-plus optical growth may still be possible, Corning would need to achieve 20%-plus gains in 2H to overcome weakness in 1H telecom spending.

The displays business could finally bottom in 4Q and start to recover in 1Q as TV-panel inventory has corrected. We expect glass volume to remain below historical averages, yet higher prices should buttress sales until a stronger recovery in 2H. (01/12/23)

Key Points:
- Weak Consumer Demand, Optical Deal Delays Lead to Sales Bottoming in 4Q
- Displays Segment Inventory Correction Almost Complete, Cautious on Optical Delays
- Lower Display, Optical Volume, Sales Damp Margins; Scope to Improve in 4Q
- Optical Weakness Could Extend Into 1H Due to Seasonality, Economic Concerns, Tempering 2023 Sales Growth

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

32. Corning's Core Optical-Growth Pillar Is Shaken: Earnings Outlook

Post-3Q Outlook: Weakness in Corning's optical business could raise doubts about the medium-term sales momentum of one of the company's core pillars for growth. Guidance for 4Q sales implies a 4% miss vs. our scenario and a drop of 4% from a year earlier. The display and smartphone-centered specialty-glass units lead the drag on sales. But optical deal delays is leading to weaker 4Q segment sales and implies flat-to-5% optical growth, which is below the company's double-digit target.

Though Corning blames deal timing for the weak optical outlook, gains may remain below double digits until 2H since 1Q tends to be seasonally weak and that could be compounded by slower contract flow because of economic concerns. The weaker optical forecast and display uncertainty would be a drag on earnings growth. (10/25/22)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:

- Optical Mitigates Consumer End Market Headwinds, Weaker Display Sales Drag on EPS
- Display Segment Sales Near Bottom; Optical Outlook Dented Due to Deal Timing
- Weaker Glass Volume Weighs on Gross Margin, EPS; Low Visibility on Improvement
- Deal Timing Trips Optical Growth Momentum, Drives Disappointing 4Q View

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »

33. Corning‘s Optical Segment Stems Consumer Slide: 3Q Preview

Corning may need to revise its $15 billion 2022 sales view amid further deterioration of its consumer end markets -- LCD TV and smartphones -- while its optical segment helps provide a foundation to curb the sales hit. Our 3Q sales and EPS view already reflects weakness in the display business due to inventory adjustments with LCD TV-panel makers. But the deteriorating global economic backdrop makes a quick recovery tough and may suppress Corning's display revenue in 4Q and into 1H23. Similarly, we believe specialty sales, driven mainly by smartphones, could be less than seasonal, with scope for low-single-digit growth in 2023 on lower phone volume.

Despite the macroeconomic overhang, we expect the optical segment to remain resilient, which may help to mitigate the extent of the consumer slide in its 4Q outlook and in 2023. (10/13/22)

Key Points:

- 3Q Results May Be Pressured by Weaker Consumer Demand
- Optical Segment Could Be a Buffer for Stressed Smartphone, TV Production
- Margin Expansion May Be Limited by Display-Sales Woes in 3Q
- $15 Billion 2022 Sales Outlook Could Be Revised Lower Amid More Tepid Consumer Activity

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

34. Corning’s Optical Cushions Softer Consumer: Earnings Outlook

Post-2Q Outlook: Corning's strength in optical and solar is helping to offset sales pressure from weakening consumer demand. Its full-year outlook of "slightly" ahead of $15 billion is a bit less than our $15.3 billion sales scenario. Display results fell short of expectations, leading to the 2Q sales miss vs. guidance. Guidance implies display sales could be down 10-15% vs. our $3.8 billion target, partially offset by the strength of optical. We believe optical-sales growth shouldn't fade, as the favorable secular trends and the need for cloud and telecom networks to add fiber capacity could help it weather a softening economy.

The displays business is Corning’s biggest profit center. Though the company has made strides in driving segment efficiencies, the lower sales would drag on total annual earnings growth. (07/26/22)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:

- Optical Strength Offsets Weak Consumer Sales to In-Line Sales vs. Guidance
- Display Segment Weakened on Lower Panel Demand, Optical Grows 22% Year-Over-Year
- Cost Actions, Optimization Preserves Margin, 2022 EPS Dragged on Lower Display Sales
- Display Woes Mitigated by Optical, Stays on $15 Billion 2022 Sales Track

Additional Resources:

- Analyzer | BI »
- Earnings Release | DOCV »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »

35. Corning Sales Goal Still in Reach Amid Tough Macro: 2Q Preview

The diversified nature of Corning's business coupled with glass-pricing stability may help it deliver roughly $15 billion in 2022 sales despite mounting consumer-spending concerns, which could weigh on key end markets such as TVs and smartphones. Its optical-communications business should provide a good sales foundation to cushion potential sales cuts in its consumer-focused businesses, and we think the strong optical-fiber demand dynamics could keep the segment on a midteens growth path to $5 billion in 2022.

But within the display-technologies segment, we believe favorable glass pricing could help mitigate a potential year-over-year decline in TV glass volume, while incremental content gains in upcoming smartphone launches could offset the impact from possible production cuts. (07/13/22)

Key Points:

- Managing Tougher Demand Backdrop, Could Still Deliver 2Q Within Gudiance Midpoint
- Optical Segment Could Provide Cushion for Possible Smartphone, TV Production Cuts
- Expect Some Progress in Margin Expansion, Helped by Operational Efficiencies
- Could Trim 2022 Outlook, But Could Maintain a $15 Billion Sales View

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

36. Corning’s Consumer Segments Appear Stalwart: Earnings Outlook

Post-1Q Earnings Outlook: Corning's 1Q results and our 2Q view suggest that its consumer segments -- displays, auto and smartphones -- are weathering growing inflationary concerns better than expected. Its 3% sales beat in 1Q vs. our $3.57 billion scenario was driven by environmental technology and specialty materials strength, helped by content gains and favorable pricing, while display technologies revenue was 3% ahead of calculations on stable TV demand.

Given the robust 1Q results and a better 2Q outlook, full-year sales guidance above $15 billion bakes in softer consumer spending. Historically, 2H sales have been seasonally stronger than 1H's by 11%, on average. But the company's forecast implies this may narrow despite potential for optical sales to strengthen through 2022. (04/26/22)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:

- Consumer Segments Stronger Than Anticipated, Driving a 3% 1Q Sales Beat vs. Our Scenario, Consensus
- Display Revenue Resilient, Environmental Tech, Specialty Glass Drive Upside
- Pricing Action Spurs Gross Margin Rebound, Appears Sustainable Through 2022
- Strong 1H Leads to 2022 Sales Exceeding $15 Billion, But Implies Weaker Consumer in 2H

Additional Resources:

- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | NSN »

37. Corning’s 2022 Outlook Concerns Rise on Tepid Macro: 1Q Preview

Corning $15 billion sales outlook for 2022 may already be at risk due to growing global inflationary concerns. Roughly 35-40% of sales are indirectly tied to consumer end markets -- TVs and smartphones. Russia and Ukraine account for 3% of global smartphone volumes and 3% for TVs, according to IDC and Display Supply Chain Consultants. But we're concerned of weaker consumer discretionary spending, which could weigh on broader TV and smartphone demand and trim glass volumes. Plus, the environmental tech recovery may be slowed by new supply-chain bottlenecks in the auto market.

We believe Corning's optical communications business could limit the magnitude of potential sales cuts. The optical spending catalysts, such as 5G and denser fiber networks, are intact and shouldn’t be as impacted by weaker consumer spending. (04/07/22)

Key Points:

- Resilient 1Q Demand Environment May Lead to 1Q Sales In-Line With $3.6 Bn Gudiance
- Display, Specialized Glass Segments Could Face Softer Inflationary Headwinds
- Navigating Tight Supply Chain, Component Cost, Keeps Gross Margin At Bay
- Consumer Spending Concerns Could Put $15 Bn 2022 Outlook At Risk

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

38. Corning’s Display Resilience Aids 2022 Growth: Earnings Outlook

Post-4Q Earnings Outlook: Corning's ability to navigate the LCD TV panel supply glut provides a good foundation for 2022 display segment growth and its $15 billion full-year sales target. Stable glass pricing helped mitigate lower display glass volume and, coupled with the strong secular demand in optical communications, helped Corning's sales top consensus by 3%, at $3.7 billion. Weaker gross margin was one blemish on results, which should improve in 2022 as volume increases.

We expect the display dynamics to strengthen for Corning this year, as glass volume should continue to grow. Given the stable pricing environment, we think the display segment could be on pace for $3.8-$3.9 billion in 2022 sales. Double-digit growth in optical and a recovery in automotive could help back the company's 2022 sales view. (01/27/22)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Displays Sales Stability, Optical Tailwinds Leads to 4Q Sales Ahead of Guidance Top-End
- Display Volume Drop Offset by Pricing Stabilty, Optical Segment Sales Grow 24% Year-Over-Yer
- Lower Glass Volume Leads to Sequential Gross Margin Drop
- Display Sales Poised to Further Expand, Back $15 Billion 2022 Sales Outlook

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

39. Corning Nearing End to Lull in Display, Auto Sales: 4Q Preview

Corning faces a mixed 4Q as the paring of LCD panel production amid a supply glut is offset by improving communications sales from stronger telecom and cloud-fiber demand. This may already be reflected in its $3.5-$3.7 billion sales guidance for 4Q, and we expect few surprises in results. It's unclear if Corning will provide 2022 guidance, but the company enters the year with strengthening industry dynamics, which could back upper-single-digit growth based on our scenario analysis.

Optical communications remains a foundation for 2022 sales, and we expect display demand will increase, helped by stable glass pricing and as the panel supply tightens by midyear. Mobile and auto-related sales should sustain modest expansion as global supply chains improve. (01/12/22)

Key Points:
- Mixed Demand Environment Reflected in $3.5-$3.7 Billion 4Q Sales Guidance
- Anticipating Sequential Decline in Display Business; Optical Segment Riding Favorable Demand
- 4Q Margins Remain Resilient; Capex Investments Aid 2022 Display, Corporate Margins
- Improving Supply Chain, Optical Demand Strength Could Drive 7% Sales Growth

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

40. Corning’s Displays Growth Outweighs Muted 4Q: Earnings Outlook

Post-3Q Earnings Outlook: Corning's prospects for healthy displays and optical sales growth in 2022 should outweigh 4Q's muted profit outlook, which stems from weaker environmental technologies and higher input costs. We also expect auto-production bottlenecks to loosen next year, while passing through higher costs will ease some margin pressure.

Corning’s sales momentum in 2022 is being overlooked, we believe; strong optical demand could sustain 10%-plus segment growth. The displays business may prove resilient in 2022, as sales could expand by mid-single digits vs. the little-changed consensus. Stable pricing lays a foundation for improving glass volumes, which could increase by mid- to high-single digits next year. (10/26/21)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Auto Segment a Modest Drag on 3Q Sales; Higher Input Costs Weigh on EPS
- Optical Communications Segment Grows 24%, Lower Panel Volumes Temper Displays Sales
- Higher Raw-Materials Costs Squeeze Operating Margin, But Steps for Improvement Put In Place
- Auto Bottlenecks, Costs Cool 4Q Sales and EPS View, But Secular Trends Drive Better 2022

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCV »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »

41. Supply, Labor Pinch Could Cool Corning's 2H Momentum: 3Q Preview

Corning may face modest sales headwinds from supply and labor bottlenecks and softer display-glass volume, which could lead to moderating 2H growth. These hurdles could weigh on network deployments, which may temporarily temper Corning's optical momentum in the seasonally stronger 2H. But we think that Corning faces similar supply-chain challenges in the environmental technologies and specialty glass segments on softer automotive and iPhone volume. But softness in these areas may be temporary, with underlying demand strong, which could lead to a quick 2022 rebound.

2H display sales may moderate as LCD TV-panel makers reconcile overcapacity. Glass volume could moderate in 2H, but should still be up due to the shift toward larger displays. We expect flat to higher display-glass pricing. (10/21/21)

Key Points:
- Turbulent Supply Chain Could Yield 3Q Sales at $3.50-$3.70 Midpoint or Lower
- Optical, Auto Segment Momentum May Be Cooled by Supply Bottlenecks
- Operational Discipline Could Sustain Flat Sequential Margin Profile
- Supply Risks May Cool 4Q Outlook, But Don't Reflect Demand

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

42. Corning Passes Growth Baton to Optical Segment: Earnings Outlook

Post-2Q Earnings Outlook: Sustained optical-segment strength may help sustain Corning's sales-growth momentum in 2H and into 2022, and help buffer the eventual slowdown in the display business. Sales of $3.5 billion in 2Q topped the high end of guidance, led by higher display and optical sales than our scenario analysis. Displays rose 25% in 2Q, driven by modest price increases and strong TV demand. But that growth may have peaked, as we expect glass volume to moderate, with pricing eventually dropping.

However, optical sales increased 21% to $1.1 billion on strengthening 5G, fiber density and cloud secular drivers. Despite favorable trends, the optical segment is still below its historical sales peak, and we believe it could pick up the slack from moderating display growth as sales drivers strengthen. (07/27/21)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Strong Glass Volume, Pricing, Communications Demand Drive 2Q Sales, EPS Above Guidance
- Display-Segment Sales Growth May Have Peaked; Optical Momentum Strong
- Gross Margin Improves on Efficiencies, Still Constrained by 150 Bps in Rising Materials Costs
- 3Q Sales Outlook Reflects Sustained Optical Momentum, Moderating Glass Volume

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

43. Corning Price Hikes, Optical Lift Sustains Momentum: 2Q Preview

Rising glass pricing and robust demand for LCD TV panels, coupled with improvement in optical could help Corning deliver 2Q sales results ahead of its $3.4 billion guidance midpoint and a 3Q outlook that may exceed consensus' $3.5 billion target. Corning's price increases in June follow a March hike, prompted by tight LCD glass supply and as it passes along raw-materials costs. Gross margin could improve from weak 1Q levels, helped by the price increases, with scope to approach 37-38% in 3Q.

We expect optical communications sales to strengthen through 2H, as telecom and cloud customers build fiber capacity. We believe Corning’s optical business may be approaching a multiyear optical cycle that could help drive upper-single digit or better growth over the next few years. (07/14/21)

Key Points:
- Healthy LCD TV Demand, Optical Momentum Could Drive In-Line or Better 2Q Sales, EPS
- Glass Price Increases Could Sustain Midteens Display Growth, Optical Sales Stay Strong
- Improved Utilization, Price Hikes Could Drive Gross Margin Improvement
- Sales Outlook Could Reflect Rising Optical Momentum, Room for Modest 2H Upside vs. Consensus

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

44. Corning’s Sales Momentum Healthy on All Fronts: Earnings Outlook

Post-1Q Earnings Outlook: Corning's better-than-expected 1Q sales and EPS reinforced the breadth of its revenue drivers, which we think could be sustained through 2021. Sales were strong across all segments, especially in display technologies, environmental technologies and "other." A tight display-glass supply environment helps, and Corning could deliver 2-4% price increases in 2021, which would lead to 9-10% segment growth. But 18% optical growth in 1Q supports our view that the division should be a leading driver to 2021 sales. We believe catalysts such as increased global fiber capacity may strengthen through 2021.

Weaker gross margin was a blemish in results, as higher transport and materials costs shaved a percentage point. However, the better top line helped improve profitability and cash generation. (04/28/21)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Broad-Based Demand Strenghth Lifts 1Q Sales; EPS Beats Guidance Midpoint by 7%
- Display, Environmental Segments Post Impressive Growth, Optical Up 18%
- Higher Transport, Materials Cost Shaves 1 Point in Gross Margin; Better Sales Drive Leverage
- Catalysts Sustained Through 2021 Could Lead to 20% Annual Sales Growth

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

45. Corning's Results May Reinforce Multiple Catalysts: 1Q Preview

Corning may set the framework for stronger sales momentum when it reports fiscal 1Q results, backed by a favorable glass-pricing environment and an improving optical-demand markets. We believe Corning could be a beneficiary from the LCD-TV glass market due to production woes amid peers. This could lead to flat-to-higher glass pricing in 1Q that may be sustained into 2Q.

Further, the underlying drivers for Corning's optical business continue to strengthen, as telco and cloud projects are ramping up and should strengthen in 2H. We expect Corning to remain cautiously optimistic in its optical business, but we believe the segment could deliver mid-teens growth in 2021. The content opportunities in auto and smartphone remain robust. But unlike displays, sales may be tempered from the supply chain disruptions. (04/09/21)

Key Points:
- Glass-Pricing Strength, Optical Demand Could Lead to In-Line or Better 1Q vs. Outlook
- Displays, Optical Segment Drivers Strong, Environmental Tech May Have Supply-Chain Hurdles
- Stronger Volume, Pricing Could Yield Better Gross, Operating Margin
- Healthy 2021 Sales, Content Momentum Could Drive Revisions Higher

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

46. Corning Sees Demand Align Across Key Segments: Earnings Outlook

Post-4Q Earnings Outlook: Corning enters 2021 with strong sales momentum and strengthening demand across segments. Optical sales, aided by easier comparisons, outperformed both consensus and our expectations on improving fiber-optical trends. Improving order activity in optical is encouraging, and we believe it suggests that sales momentum may be sustainable. The stronger recovery in optical augments a favorable environment for the company's displays business, which is leading to better volume and a more favorable glass-pricing environment.

A 1Q sales outlook of $3.1 billion implies 25% year-over-year growth. While we expect gains to moderate in 2H, the strong start to 2021 sets the stage for low-teens expansion and faster EPS growth for the year. (01/28/21)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Broad-Based Demand Strength, Led by Optical, Drives Better-Than-Forecast 4Q Sales, EPS
- Optical Orders Improve, Displays Demand, Pricing Dynamics to Remain Robust
- Margins Continue to Expand, Aid Profitability, Cash Genertation
- Revenue Momentum Sustainable Through 2021, Could Yield Low-Teens Growth

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

47. Corning's Results Propelled by Display Catalysts: 4Q Preview

Robust LCD TV-glass demand, coupled with a healthy automotive recovery and iPhone strength, positions Corning well to deliver 4Q sales growth at the top of its 5-8% sequential forecast, which would help drive EPS above consensus of 48 cents. The high end of sales guidance implies $3.25 billion -- 3% ahead of analysts' expectations. Gross margin should expand due to stronger sales and volume, which we view as a favorable EPS lever.

Corning enters 2021 with healthy demand momentum that could be reinforced in its 1Q outlook. Margin levers may be sustained, supporting better EPS. But sales visibility for its optical business beyond 1Q could be limited, making it tough for consensus to meaningfully raise the full-year sales-growth outlook above 11%. (01/12/21)

Key Points:
- Strong Demand Environment Helps Corning Lift 4Q Guidance Mid-Quarter
- Displays Segment Strength Lead Sales Catalyst, Complemented by Healthy Auto, Smartphone Demand
- Better Utilizations Could Drive Better 4Q Gross Margin, EPS

Additional Resources:
- Earnings Deep Dive | NSN »
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

48. Corning's Displays Boost Augments Recovery: Earnings Outlook

Post-3Q Earnings Outlook: A faster-than-expected return to growth in Corning's displays business backed stronger than guidance 3Q sales and earnings results. LCD glass volumes increased 10%, resulting in 4% year-over-year growth in the displays business, complementing the 68% sequential growth in the auto-centric environmental technologies business and record specialty glass sales aided by smartphone content increases fueled by iPhone 12 Ceramic Shield.

While optical revenue improved sequentially and should further improve in 4Q, the magnitude of the rebound is muted and due to a more cautious telecom spending environment. This shouldn't overshadow the intermediate-term optical sales catalysts, fueled by 5G and metro density projects, which should back double-digit segment growth in 2021. (10/28/20)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Stronger Displays Sales Fuel Upside To Sales, EPS vs. Gudiance
- Displays Segment Returns To Growth on Panel Demand, Complements Auto, Smartphone Sales
- Displays Improvement Aids Factory Utilization, Margin
- Fiscal 4Q Sales May Be Down QoQ, Poised for Strong 2021

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

49. Corning’s Strength in Displays May Sustain Recovery: 3Q Preview

Corning's 3Q results should illustrate a sustainable recovery, as the negative pandemic effects on supply chain and demand diminish. Corning's positive 3Q pre-announcement illustrates a healthier recovery than previously thought, with the automotive and smartphone segments backing better results. The consumer has proven to be more resilient despite a global recession, which may aid better display sales and drive 3Q results ahead of its revised low-teens sequential sales-growth target.

The momentum could be sustained into 4Q and strengthen in 2021. Corning remains exposed to favorable secular trends, such as denser fiber networks, 5G smartphone-content gains and larger LCD displays, all potential growth catalysts. It could see an incremental boost from LCD panel consolidation and its relationship with panel maker BOE. (10/14/20)

Key Points:
- Resilient Consumer May Help Drive 3Q Results Ahead of Positive Pre-Announced Sales Target
- Environmental Technologies, Specialty Material Segments Provided 3Q Boost; Displays May Be Healthy
- Improving Glass Volume, Factory Utilization Could Help Drive Faster Margin Expansion
- 4Q Sales Outlook Could Continue to Reflect Recovery Momentum

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

50. Corning’s Recovery Has Legs Over Long Term: Earnings Outlook

Post-2Q Earnings Outlook: Corning's better-than-expected 2Q results provide a higher sales and profit base to build on for its 2H recovery. The pandemic's negative impacts are behind Corning, and a strong 2Q illustrates that the content-growth drivers remain intact across its business segments. Improving demand and volume help to back sequential growth for 3Q. The Displays segment's sales were better than feared, as LCD TV demand and glass pricing was stable. Corning continues to gain from the shift toward larger screen sizes, which we view as a sustainable trend into 2021.

The strength of the 2H optical recovery has some uncertainty due to pandemic-related impacts that could affect the timing of network rollouts. This is a small blemish on Corning's outlook, and more of a timing issue, as it should recoup any delays later. (07/28/20)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Pandemic Impact Lower Than Feared Across Segments, Driving Better Sales, EPS vs. Consensus
- Displays, Optical and Specialty Materials Segments Strength Fuel Better Sales
- Margin Poised to Recover as Glass Utlizations Improve
- Favorable Demand Trend Across Segments Backs Stronger 2H Recovery

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCC »

51. Corning Could Find Pandemic Bottom, Steady Recovery: 2Q Preview

The negative pandemic-driven effects on Corning's sales and profitability may wane in 2Q, and it could be on a path for a slow recovery in 2H. Production in key end-markets that was most disrupted by shutdowns -- LCD display, automotive and smartphone -- improved in the latter half of the June quarter, which could help limit the 2Q sales drop. It's unclear if Corning will issue a 3Q and 2020 outlook. But we believe the worst should be behind it, and a sequential 3Q sales uptick could be aided by the gradual reopening of the macroeconomy, a 2H optical recovery and strength in the life-sciences business from higher vial demand for Covid-19 vaccines.

Margin appears poised to keep falling in 2Q on lower LCD glass production that's weighing on factory utilizations. But a stronger LCD rebound may drive a margin recovery into 2H. (07/21/20)

Key Points:
- Quicker Production Rebound Across Key Markets Could Back In-Line or Better 2Q Sales, EPS vs. Consensus
- Displays, Auto Segments May Show Early Signs of Normalizing, Optical on Path to 2H Upgrades
- 2Q Margin Could Mark Bottom; Scope for Stronger Profit Recovery on Better Sales
- Macroeconomic Improvement May Help Fuel 3Q Better Sales

Additional Resources:
- Earnings Deep Dive | NSN »
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

52. Corning Has Levers to Navigate Jolt to Demand: Earnings Outlook

Post-1Q Earnings Outlook: Corning should be able to weather the coronavirus-related consumer demand dispruption that will slash sales. While weak demand will lead to a sequential sales and earnings drop in 2Q, we believe it should mark a bottom and stabilize into 2H. A consumer pullback will lead to a decline in 2020 sales, and while full-year guidance was retracted, the magnitude may not be as stark as the 2008-09 financial crisis. Corning's ability to manage pricing cushions the displays decline, aided by relative stability in the optical communications and life-sciences segments, which should have 2H sales catalysts.

Operationally, to deliver free cash flow for the year, Corning is pulling its financial levers, such as shrinking operating costs and reducing capital spending, which should help sustain the dividend. (04/29/20)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Manages Sales, Operations Amid Covid Demand Shocks
- Continues to Manage Displays Pricing Drop, Auto, Smartphone Deteriorates
- High Fixed-Cost Component Weigh on Gross Margin, May Sink Below 30% in 2Q
- Targets Free Cash Generation, Manages Working Capital, Lowers Capex

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCV »
- Company Presentation | DOCV »

53. Corning’s Consumer Exposure Likely Derails 2020 View: 1Q Preview

Corning faces a tough 2Q and cuts to its full-year view due to more than 50% sales exposure to consumer markets. Pandemic-driven demand shocks may lead to LCD-panel output reductions, potentially resulting in a lower outlook for 2020 display sales. During the 2008-09 financial crisis, Corning's 4Q08 glass volume dropped 50% year-over-year. Assuming glass output is slashed 25-30%, with a 5% price erosion, 2Q display sales would be $564-$604 million vs. Bloomberg consensus of $739 million. Environmental and specialty-material sales are also poised for cuts due to automotive and smartphone exposure.

Optical and life-science sales should be largely unaffected by fallout from the virus. Profit contribution is more evenly distributed across segments, which may help Corning weather a temporary demand shock. (04/13/20)

Key Points:
- China Supply Chain Disruptions Baked Into 1Q Bloomberg Consensus
- Consumer Demand Shocks Would Pressure, Displays, Environmental Technology Segments
- Lower Manufacturing Utilization Will Cut 2Q Gross Margin, Profitability
- Pandemic Impacts Reflected More in 2Q Sales Outlook; 2020 Targets Possibly Cut

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

54. Corning Manages LCD Glut for Stable 2020: Earnings Outlook

Post-4Q Earnings Outlook: Stability in Corning's display business in 2020 is positive, as its leadership in Gen 10.5 fabs and exposure to larger screens mitigates the negatives from a near-term panel glut. Corning is counting on improved 2H glass volume to limit this year's sales movement to a slight drop, which poses some risk. But the secular-demand trend toward 65- and 75-inch TVs is favorable, and easier 2H comparisons could help its case.

The company's 2020 outlook also relies on a 2H recovery in its optical business, a segment expected to be down 5-10%, with most of the weakness front-end loaded. However, 5G networks are coming, and the pace of infrastructure spending will need to improve to support the rollout and aid Corning. (01/30/20)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Modestly Better 4Q Optical, Display Sales vs. Consensus
- Displays Segment Pressured by Supply Glut, Optical on Weak Telecom Spending
- Near-Term Margin Pressure on Lower Sales, Utilization; Improvement as 2020 Progresses
- 2020 Sales Outlook Relies on Display, Optical Strength in 2H

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »
- Company Presentation | DOCC »

55. Corning's Display Challenges Likely Persist in 2020: 4Q Preview

There's downward risk to Corning's estimates as LCD panel overcapacity and output cuts may weigh on its full-year outlook. Panel shipments are expected to drop 7% in 2020 to 265 million, according to IHS Technology, vs. little changed at 285 million units in 2018-19. The 65- and 75-inch shipments are expected to expand 21%, and Corning's leadership in this area should help cushion some of the decline. Still, we believe consensus of a 1% sales drop for the display business in 2020 may be too optimistic.

In contrast, weakness in optical demand may already be reflected in consensus' expectation of a 2-3% drop. Despite signs of improving telecommunications optical spending, it may be tough to raise segment expectations, given visibility into the seasonally stronger 2H remains low. (01/24/20)

Key Points:
- LCD Panel Environment Challenged, But May Already Be Reflected in Sales, EPS Expectations
- Display Technologies Accounts for Over 25% of Sales; Optical Likely Remains Weak
- Weaker Display Results Could Pressure Margin, Profitability
- LCD Supply Glut Puts 2020 Consensus at Risk, in Our View

Additional Resources:
- Earnings Deep Dive | NSN »
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

56. Corning Faces Lackluster 2020 Start, Recovery: Earnings Outlook

Post-3Q Earnings Outlook: Limited near-term spending visibility for Corning's optical products makes it tough to determine the magnitude of the recovery in 2020. There's risk that optical spending, which weighed on 3Q results and in the company's outlook, could stay at reduced levels in early 2020 as telecoms preserve capital or prioritize elsewhere, such as spectrum purchases. While Corning is poised to return to growth in 3Q20 as sales comparisons get easier, sustained weakness in optical spending could lead to a lackluster recovery and mute 2020 results.

In contrast, we are encouraged that the LCD TV display overcapacity issues that weighed on Corning's results should be resolved by year-end. This should lead to better glass volumes in 1H20 over 2H19, and its leadership in larger displays positions the segment for growth. (10/30/19)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:

- 3Q Sales Consistent With Pre-Announcement, Pinched By Trade War, Weak Telco Spending
- Optical Segment 10%, Poised for 25%-Plus Drop in 4Q; Displays Overcapacity Should Be Resolved
- Lower Utilization in Display, Optical Tempers Gross Margin
- Return to Revenue Growth Expected in 3Q20; Full-Year Expansion Muted

Additional Resources:

- Earnings Deep Dive | NSN »
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »
- Company Presentation | DOCC »

57. Corning’s Recovery Timing Clouded by Demand Outlook: 3Q Preview

The timing of Corning's return to growth may be in focus after the company lowered its 2H outlook on Sept. 16 due to weaker optical-communications and LCD-glass demand. Expansion in these segments may not resume until 2H20, in our view, as it may take a couple of quarters for some demand pressure to ease. In the displays business, the LCD-panel glut may take a quarter or two to absorb before utilization improves. Similarly, optical communications may not pick up until 2H20 with better seasonal spending.

Despite Corning’s reduced 2H outlook, the company is still well-positioned to favorable secular trends. It should be a leading beneficiary of larger LCD TV screen sizes and the increased density of optical networks. (10/15/19)

Key Points:

- Consensus Cut After Negative Pre-Announcement
- Displays, Optical Segments Drive Reduced 3Q Sales, EPS View
- Margins Trimmed Modestly on Lower Sales, Capacity
- Little Change Expected In Demand Environment; 4Q Outlook Likely Muted

Additional Resources:

- Earnings Deep Dive | NSN »
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

58. Optical Slowdown Tempers Corning’s 2019 Growth: Earnings Outlook

Post-2Q Earnings Outlook: A deeper slump in optical spending is pressuring Corning's full-year growth outlook. Spending pauses by telecom carriers in the U.S. and in China is leading to a 2019 optical-revenue increase in the low- to mid-single digits, vs. its prior 10% forecast. Long-term trends are favorable, in our view, but spending may not get back on track until 2020, when 5G network rollouts ramp up. Optical weakness was compounded by the company's mixed outlook on its display technology. Glass pricing was stable, which was encouraging, but softening 2H TV demand may temper volume and push down 2H revenue.

While total sales should remain on a growth path for the year, the muted optical and display expectations imply a 4-6% total revenue expansion in 2019, vs. consensus’ 8% view. (07/30/19)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Highlights From Recent Results:
- Firm Display Sales Couldn't Offset Optical Softness, Drives Sales Miss
- Optical Revenue Growth Moderates, Environmental Tech, Specialty Glass Healthy
- Gross Margin May Ease Back in 2H Due to Lower Sales, Mix
- Weakness in Optical, TV Demand Further Moderates Full-Year Growth vs. Consensus

Additional Resources:
- Analyzer | BI »
- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »
- Company Presentation | DOCC »

59. Display Pricing Weakness May Temper Corning’s Growth: 2Q Preview

Corning's 2H growth trajectory may be tested when it reports results following accelerated pricing declines in displays amid a challenging global economic backdrop. LCD panel oversupply and a weak pricing environment could mitigate the positive impact from the shift toward larger displays and its leadership in Gen 10.5 panels, which could temper Corning's display technologies' growth. Secular demand in optical communications remains favorable through 2019-20, and its partnership with Centurylink for a 4.7 million fiber network expansion is encouraging. But an additional boost from optical in its outlook to help bridge potential display-technology weakness may be tough to deliver. (07/26/19)

Key Points:
- Escalated Trade Tensions May Not Have Weighed on 2Q Sales, EPS
- Optical Communications, Display Technologies Should Follow Seasonal Trends
- LCD Panel Pricing Continues to Slide
- Margin Should Remain Stable in 2Q, Driving Faster EPS Growth
- Continued LCD Pricing Weakness Could Pull 2H Below Consensus

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Outlook | BICO »

60. Optical, Display Growth May Slow for Corning: Earnings Outlook

Contributing Analysts Simon Chan

Post-1Q Earnings Outlook: Corning may achieve smaller sales gains in 2Q as growth in its optical communication and display segments could start to decelerate. Optical customers could scale back spending increases after initial investments in expanding 5G and fiber to home broadband services. Corning lowered its full-year sales growth target for the segment to 10% vs. low teens in previous guidance. Core revenue grew 13% in 1Q on a 20% jump in the communication division. (04/30/19)

Highlights From Recent Results:
- Core Sales Rose 13% on Growth at Communications, Environmental Divisions in 1Q
- Display-Segment Core Sales Increased 9.8% on Ramp-Up at Hefei Factory in China
- Gross Margin Widened to 39.1% in 1Q on Lower Investment
- Optical Sales Growth May Slow to Less Than 10% in 2Q

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCC »
- Earnings Call Transcript | DOCC »
- Company Presentation | DOCC »

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

61. Corning Optical Sales May Keep Rising on 5G Rollout: 1Q Preview

Contributing Analysts Simon Chan

Corning's sales may have risen in 1Q, fueled by demand at the communication and display divisions. Optical-fiber product shipments keep rising as telecom operators add more network bandwidth for 5G coverage. Sales of display glass may have increased as BOE ramps up production at its Gen 10.5 factory in Hefei. Corning's gross margin likely widened over the prior year on lower expansion costs, and additional gains are possible as capacity utilization picks up. (04/11/19)

Key Points:
- Core Sales May Have Gained 12% in 1Q on Growth at the Communications and Display Segments
- Environmental Division Sales Probably Rose in 1Q, With a Boost From Filter Growth
- Core 1Q Gross Margin Projected to Widen vs. Prior Year
- TV Display Shipments Rose 5.8% in January, February

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Primer | BICO »

62. Optical to Boost Corning's Sales on 5G Rollout: Earnings Outlook

Contributing Analysts Simon Chan

Post 4Q Earnings Outlook: Corning's growth outlook for 1Q and the rest of 2019 is perking up despite persistent trade tensions and waning demand for smartphones. Optical communication product sales should keep rising as telecom operators build out their 5G network infrastructures. Display division sales should hold steady this year as more shipments help offset a moderate price decline. Sales rose 15% in 4Q, driven by demand at the communications and display divisions, while core gross margin widened 188 bps to 42%. (01/30/19)

Highlights From Recent Results:
- Core Sales Rose 15% on Growth at Communications, Display Divisions in 4Q
- Display-Segment Core Sales Increased 5.5% Sequentially on Ramp-Up at Hefei Factory in China
- Optical Sales May Jump in 4Q on Demand From Telecom Carriers, Data Centers
- Corning Expects Core Gross Margin to Widen in 2019 on Lower Investment

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCC »
- Earnings Call Transcript | DOCC »
- Company Presentation | DOCC »

63. Optical, Filter Demand Growth Drive Corning Sales: 4Q Preview

Contributing Analysts Simon Chan

Corning's sales probably rose in 4Q, driven by growth for communications and emission-filter products. Demand for optical-fiber products continues to rise as telecom carriers expand network capacity to prepare for 5G launches. The adoption of Euro 6 emission standards boosted demand for Corning's gas-particulate filters and aided sales in the environmental division. The specialty-materials division's sales were probably lower than expected due to weak smartphone demand. (01/16/19)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Key Points:
- Core Sales Likely Advanced 13% in 4Q on Growth in Communications, Automotive Segments
- Specialty Materials Sales Probably Fell in 4Q on Smartphone Weakness
- Core 4Q Gross Margin Projected at 42%
- Average Display-Glass Prices Fell 1.1% vs. 3Q

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Primer | BICO »

64. Optical Products Sustain Corning Sales Growth: Earnings Outlook

Contributing Analysts Simon Chan

Post-3Q Earnings Outlook: Corning's sales should continue to rise in 4Q, driven by the optical-communication segment. Telecom carriers are building out their optical-fiber network infrastructure in preparation for 5G rollouts, boosting demand for Corning's products. Display-division sales should also increase as Chinese panel maker BOE ramps up production at its Gen 10.5 facility. Corning's core display-division sales rose 7.2% in 3Q. (10/24/18)

Key Points:
- Core Sales Rose 16% on Growth at Communications, Specialty-Material Divisions in 3Q
- Display-Segment Core Sales Increased 7.2% on Ramp-Up at Hefei Factory in China
- Optical Sales May Jump in 4Q on Demand From Telecom Carriers, Data Centers
- Corning Expects Core Sales to Rise More Than 2.7%, Exceeding $11.3 Billion

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCC »
- Earnings Call Transcript | DOCC »
- Company Presentation | DOCC »

65. Optical Communications Growth to Aid Corning's Sales: 3Q Preview

Contributing Analysts Simon Chan

Corning's sales probably rose in 3Q, driven by growth at the communications and automotive segments. Demand for optical-fiber products continues to advance as telecom carriers increase network capacity to prepare for 5G launches. The adoption of Euro 6 emission standards boosted demand for Corning's gas particulate filters and aided the company's sales in the environmental division. Gross margin likely expanded on a sequential basis in 3Q with improved utilization rates at its new facilities. (10/09/18)

Key Points:
- Core Sales Likely Advanced 11% in 3Q on Growth at the Communications, Automotive Segments
- Specialty Materials Division Sales Could Rise as Smartphone Makers Release New Models
- Core 3Q Gross Margin Projected at 42%
- Average Display-Glass Prices Fell 1.6% vs. 2Q

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Primer | BICO »

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

66. Corning Sales to Rise on Communication Growth: Earnings Outlook

Contributing Analysts Simon Chan

Post-2Q Earnings Outlook: Corning's sales should continue to rise in 3Q as the company ramps production at its new optical-fiber capacity. The acquisition of 3M's communication unit also aids the glass maker's sales. The company's partnership with BOE Technology should boost sales at its display division as the panel maker increases production at its Gen 10.5 factory in Hefei, China. Rising production at the new facilities should aid Corning's margin on a sequential basis. (07/26/18)

Key Points:
- Sales Rose 10% on Growth at Environmental, Communication Divisions in 2Q
- Display-Segment Sales Grew 4.3% on Production Ramp at Hefei Factory in China
- Optical Sales May Jump in 3Q, Partly Due to Acquisition of 3M's Communication Unit
- Corning Raised Guidance for Core Sales by 2.7% to $11.3 Billion

Additional Resources:
- Analyzer | BI »
- Earnings Release | DOCC »
- Earnings Call Transcript | DOCC »
- Company Presentation | DOCC »

67. Automotive, Optical Demand to Aid Corning's Growth: 2Q Preview

Contributing Analysts Simon Chan

Corning's sales probably rose in 2Q, driven by growth at the communications and automotive segments. Demand for optical fiber products from telecom carriers likely fueled gains at the communications division, with a boost from higher sales of automotive gas particulate filters. Gross and operating profit margins may get squeezed on expenses related to capacity expansion for products such as Gen 10.5 display glass at its facility in Hefei, China, and optical fibers at its plant in North Carolina. (07/13/18)

Key Points:
- Core Sales Probably Rose 5.8% in 2Q on Growth at the Communications, Automotive Segments
- Specialty Materials Division Sales Could Decline on Lower Smartphone Gorilla Glass Shipments
- Core 2Q Gross Margin Projected at 40%
- Average Display Glass Prices Fell 1.7% Sequentially in 2Q

Additional Resources:
- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Primer | BICO »

68. Investment to Crimp Corning's Near-Term Margin: Earnings Outlook

Contributing Analysts Simon Chan

Post-1Q Earnings Outlook: Corning's investments in new manufacturing capacity for optical fiber, and to ramp up production at its Gen 10.5 glass factory in Hefei, are likely to weigh on its profit margin in the near-term. The glass maker's profitability should start to improve in 2H as new operations achieve scale and bolster sales. Corning's gross margin narrowed 128 bps to 40% in 1Q. Losses from its cash flow hedges against the yen also dented profit. (04/25/18)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Key Points:

- Sales Rise 5.3% on Growth at Environmental, Life Sciences Divisions
- Display-Segment Sales Grew 1.2% as Stronger Yen Offsets Lower Glass Prices
- Optical Communication Sales May Rise in 2Q as Telecom Carrier Boosts Network Coverage, Bandwidth
- Core 2018 Sales Expected to Rise 7% to $11 Billion

Additional Resources:

- Analyzer | BI »
- Earnings Release | DOCC »
- Earnings Call Transcript | DOCC »
- Company Presentation | DOCC »

69. Optics Help Corning to Counter Gorilla Glass Dip: 1Q Preview

Contributing Analysts Simon Chan

Demand for optical fiber products likely aided Corning's sales in 1Q and helped the company to counter a short-term demand drop for Gorilla Glass. The company is partnering with telecom carriers such as Verizon and Saudi Telecom to improve their network bandwidth for 5G and fiber-to-the-home coverage. Sales for Gorilla Glass probably declined on lower demand in the smartphone market. Core revenue for display glass was likely little changed as growth in shipments offset a moderate decline in prices. (04/17/18)

Key Points:

- Core Sales Were Probably Little Changed in 1Q as Communication Growth Offset Gorilla Glass Dip
- Specialty Materials Division Sales Could Drop 10% on Lower Smartphone Gorilla Glass Shipments
- Core 1Q Gross Margin of 40% Expected
- Average Display Glass Costs Fell 2.9% Sequentially in 1Q

Additional Resources:

- Analyzer | BI »
- Earnings Calendar | EVTS »
- Company Primer | BICO »

To contact the analyst for this research:

Woo Jin Ho at who88@bloomberg.net

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.